Pakistan’s Industrial Sector

Structure, Historical Evolution & Critical Challenges

Prof. Dr. Zahid Asghar

School of Economics, Quaid-i-Azam University, Islamabad

2026-01-01

Part I: Structure & Composition

The Industrial Sector of Pakistan

Overview of the industrial sector’s importance in Pakistan’s economy — its contribution to GDP, employment, and exports

Why Industry Matters

Industry is the **engine of structural transformation** — no country has achieved sustained middle-income status without a strong manufacturing base.

~20% Industry Share of GDP (2024)

19% Manufacturing Sub-Sector

5.75% LSM Growth Jul–Jan 2025–26

~25% Industrial Employment

Sources: PBS 2026, Trading Economics, World Bank 2024

Sectoral Composition of GDP (2024)

53% Services

25% Industry

22% Agriculture & Livestock

Within Industry:

- **Manufacturing** — 19% of GDP (textiles, food, cement, pharma, auto)
- **Mining & Quarrying** — ~3% of GDP (coal, natural gas, salt, marble, chromite)
- **Construction** — ~2.5% of GDP (housing, infrastructure, CPEC projects)
- **Utilities** — electricity, gas, and water supply

The Paradox: Industry's GDP share has *declined* from ~24% in 2005 to ~20% in 2024 — Pakistan is **deindustrialising** before industrialising.

Major Industries at a Glance

Industry	Export Share	Key Products	Status
Textiles & Garments	~60%	Yarn, fabric, knitwear, bedwear	Stagnating
Cement	Domestic + export	OPC, blended cement	Moderate
Food Processing	Growing	Dairy, rice, halal meat	Potential
Pharmaceuticals	~$300M	Generics, biosimilars	Emerging

Industry	Export Share	Key Products	Status
Automobiles	Minimal	CKD assembly, 2/3-wheelers	Protected
IT & Software	~$3.2B	Freelancing, BPO, SaaS	Rising
Surgical Instruments	~$500M	Sialkot cluster	Niche

Source: PBS, SBP, TDAP — FY2024–25 estimates

The Textile Dominance Problem

Over-Reliance on One Sector

- Textiles account for **~60% of merchandise exports**
- Concentrated in **low-value segments** — yarn, grey cloth, basic garments
- Pakistan's unit price for garments is **30–40% below** Bangladesh and Vietnam
- Limited **value addition** — most exports are at the commodity end
- **Female labour force participation** at just ~24% constrains garment scaling

Comparison: Textile Export Sophistication

Country	Unit Value ($/kg)	Value Chain
Vietnam	$18–22	Full package
Bangladesh	$14–17	Mid-value RMG
Pakistan	**$8–12**	**Basic/commodity**
Turkey	$20–25	Fashion + brand

Pakistan’s garment exports are stuck in the lowest tier of the value chain

Part II: Historical Evolution

Pakistan’s Industrial Timeline

Phase 1: Import Substitution (1947–1970s)

- **Post-Partition:** Almost no industrial base — Muslim majority areas were agricultural
- **1950s–60s:** Ayub Khan era — heavy industrialisation drive
  - Pakistan Industrial Development Corporation (PIDC)
  - Steel Mills, fertiliser plants, heavy machinery
  - **“22 Families”** — concentration of industrial wealth
- **1970s:** Bhutto nationalisation — cotton ginning, rice husking, flour milling, vegetable ghee, cement
  - **Result:** Destroyed entrepreneurial class, created PSE burden that persists today

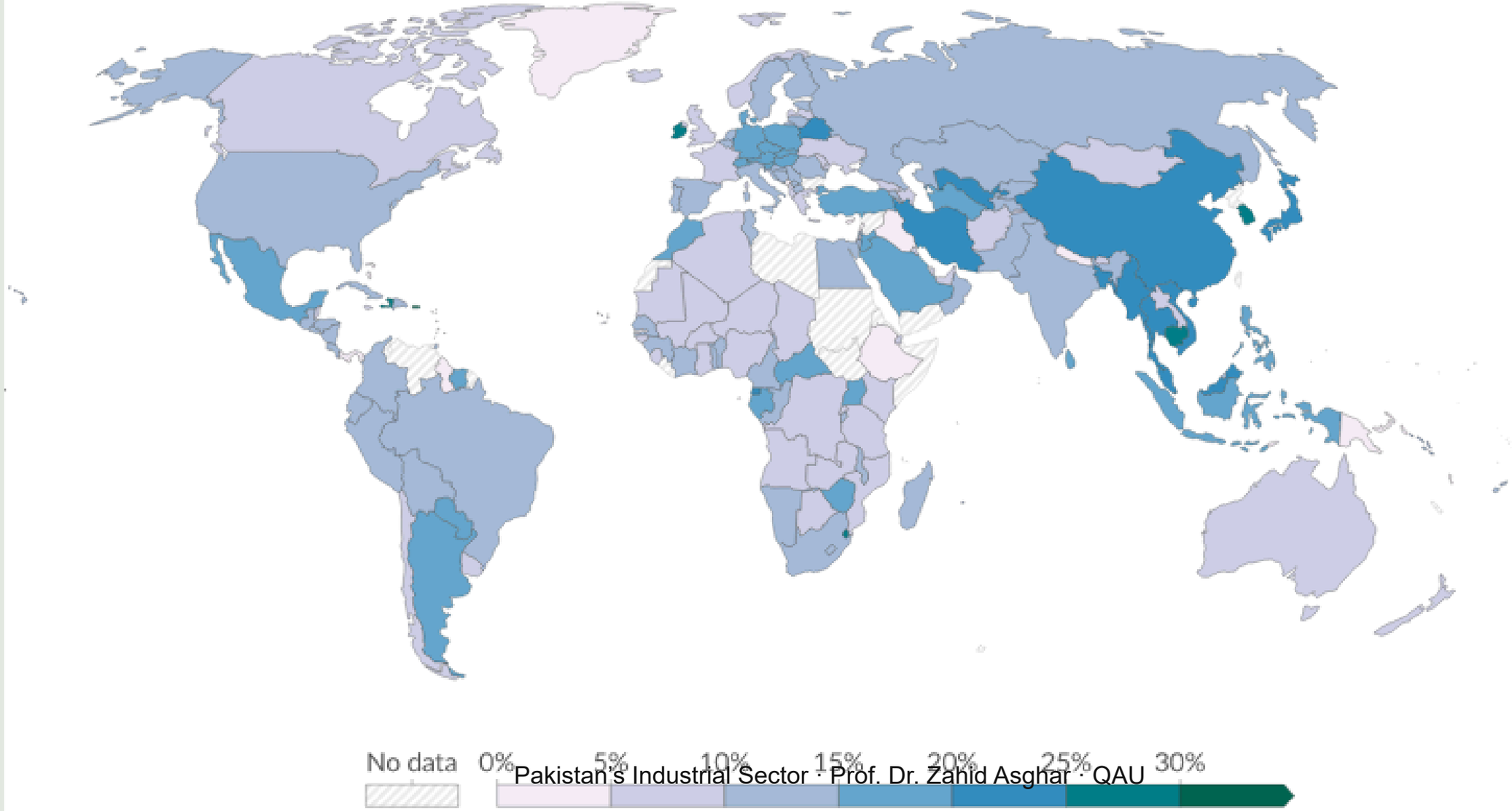
Phase 2: Liberalisation & Stagnation (1980s–2020s)

The Decline of Industrial Share

Share of manufacturing in gross domestic product (GDP), 2024

Our World in Data

Manufacturing comprises units engaged in the physical, or chemical transformation of materials, substances, or components into new products.



Data source: National statistical organizations and central banks, OECD national accounts, and World Bank staff estimates (2026)
OurWorldinData.org/economic-growth | CC BY

Manufacturing Value Added (% of GDP) — Pakistan vs Peers

Source: Our World in Data / World Bank WDI 2026

A sobering trend: Pakistan's industrial share of GDP peaked at ~24% in 2005 and has since declined to ~20% in 2024. Manufacturing value added fell to **13.1%** in 2024. This is the **opposite** of East Asian structural transformation.

24% → 20% Industry GDP Share: 2005 → 2024

Why Deindustrialisation?

1. **Energy costs** — industrial electricity tariffs at PKR 34–46/kWh (vs. PKR 8–12 in Bangladesh, Vietnam)
2. **Anti-export bias** — high import tariffs on inputs make finished goods uncompetitive
3. **Real estate diversion** — investible surplus flows to speculative land, not productive capital
4. **No technology transfer** — R&D spending at ~0.2% of GDP (India: 0.7%, S. Korea: 4.9%)
5. **Policy discontinuity** — average Finance Minister tenure under 18 months

Part III: Critical Challenges

Critical Challenges Facing Pakistan’s Industrial Sector

The Energy Crisis — Industry’s Biggest Burden

PKR 2.6T Circular Debt Stock (FY2025)

~45,000 MW Installed Capacity

33.9% Utilisation Factor

3× Tariff Increase Since 2015

How Circular Debt Kills Industry

- Effective electricity tariff has risen from **PKR 12.5/kWh (2015)** to **PKR 34.5/kWh (2025)**
- Capacity payments to IPPs reached **PKR ~2.1 trillion** in FY2024
- T&D losses remain at **16–17%** across state-owned DISCOs
- Industries choosing **captive power** or relocating production to Bangladesh/Vietnam
- **Roshan Maeeshat Bijli Package** (Nov 2025): reduced industrial tariff to PKR 22.98/kWh — but temporary

Sources: NEPRA State of Industry Report, IMF Country Report 25/109, PIDE 2025

Export Stagnation — The Core Failure

Pakistan’s Export Trajectory

- **FY2025–26 (Jul–Feb):** Merchandise exports at **$20.5B** — down 7.3% YoY
- Total goods + services projected at **$40–41B** for FY2025–26
- Exports-to-GDP ratio: **~10%** — lowest in the region
- Textile concentration **>60%** with minimal diversification
- Government's **$100B by 2030** target: "aspirational rather than credible"

Industry Value Added (% of GDP) — Pakistan

Source: TheGlobalEconomy.com / World Bank

Regional Export Comparison (2024)

Country	Exports/GDP
Vietnam	**87%**
Malaysia	**70%**
India	**22%**
Bangladesh	**15%**
Pakistan	**~10%**

Pakistan has the lowest export-to-GDP ratio among all regional peers

The Anti-Export Bias: A product priced at $100 globally, after 20% import tariff, sells for $120 domestically. Exporters find it more profitable to serve the captive domestic market — destroying competitiveness.

The Four Structural Distortions

1. Anti-Export Bias

- High import tariffs incentivise domestic sales over exports
- Import duties rose from **15% (FY2010) to 21.3% (FY2020)**
- Consumers pay inflated prices; producers have no incentive to export
- **Result:** Exports stagnant for a decade

2. Import Substitution Dependency

- Protected industries are non-competitive globally
- Permanent burden on foreign exchange — importing inputs for domestic-only production
- Low-quality goods for captive market

3. Market-Seeking FDI

- Foreign companies invest to **sell locally**, not to export
- No integration into global value chains
- Limited technology transfer or skill spillovers
- **Example:** Auto assemblers with 30+ years and still no export capability

4. Policy Capture

- Industrial elites influence policy for private benefit
- Tariff protection, SROs, subsidies benefit incumbents
- Entry barriers prevent new competition
- **Result:** Rent-seeking over innovation

The Taxation Trap

Pakistan's tax-to-GDP ratio is **~10%** — among the lowest globally. Yet the burden falls **crushingly** on those already in the tax net.

Who Bears the Burden?

Sector	Effective Tax Rate	Status
Salaried Workers	35%+ (highest marginal)	Overtaxed
Corporations	29% + super tax = **39%+**	Overtaxed
Exporters	Highest effective rate in region	Punished

Sector	Effective Tax Rate	Status
Agriculture (large holdings)	~0.1% of agri income	Undertaxed
Real Estate	Near-zero effective	Untaxed
Large Retail / Informal	Effectively untaxed	Untaxed

Consequences

Investment Drought

~13% Private Investment / GDP

<$500M Fresh FDI Inflows

80% FDI = Retained Earnings

25%+ Peer Country Investment Rate

Why Nobody Invests in Pakistan

1. **Energy costs** make manufacturing uncompetitive
2. **Tax regime** punishes formal sector, rewards informality
3. **Policy discontinuity** — no reform survives a government change
4. **Weak property rights** — capital flows to real estate, gold, foreign currency
5. **Security and governance** — contract enforcement unreliable
6. **No exit options** — capital account restrictions deter foreign investors

> *"Of $2.5B net FDI in FY2025, over $2B is retained earnings by existing firms. Genuine fresh inflows are under $500M — one of the lowest in the region."*

The Informal Economy — A Parallel System

Scale of Informality

- **72.1%** of non-agricultural workers in informal employment (PBS 2024–25)
- Informal economy estimated at **~$457B** — exceeding the formal documented economy (~$340B)
- **34%** of GDP occurs outside the formal sector (World Economics 2025)
- Only **~5 million** out of 240 million file income tax returns

Why Informality Persists

PSE Burden — The State’s Dead Weight

The Cost of State-Owned Enterprises

- PIA, Pakistan Railways, Pakistan Steel Mill, WAPDA — collectively cost **trillions** annually
- **SOE Report FY2025** shows no substantive improvement in governance
- 25 IMF programs since 1950 — each pledged PSE reform; none delivered
- SOEs crowd out private investment and distort competition

Political Economy of SOEs

- SOEs serve as **patronage networks** — employment, contracts, subsidies
- Each government pledges reform but **none follows through**
- Military's own commercial enterprises span real estate, agriculture, manufacturing — assets grew from **$30B to $39.8B** (2016–2023)

Key Loss-Making SOEs

Entity	Annual Loss	Status
PIA	PKR 200B+	Privatisation in process
Pak Railways	PKR 60B+	Chronic underperformance
Pak Steel	PKR 40B+	Virtually non-operational
DISCOs (10)	PKR 600B+	Aggregate losses

Human Capital Deficit

The Numbers

- **Learning poverty rate** among the highest in Asia
- **Human Capital Index** — bottom quartile globally
- **R&D spending** — 0.2% of GDP (S. Korea: 4.9%, India: 0.7%)
- **22.8 million** out-of-school children (UNESCO 2024)
- Severe **skills mismatch** between education output and labour market needs

Why This Cripples Industry

- No workforce pipeline for technology-intensive manufacturing
- Engineers and IT professionals **emigrating** — 800,000+ in 2023
- Vocational training system outdated and underfunded
- Female LFPR at **~24%** — enormous productive capacity untapped
- **Consequence:** Pakistan cannot climb the value chain without human capital investment

Lucas (1988): *“Once you start thinking about the growth of nations, it is hard to think about anything else.”* — Pakistan’s growth ceiling is fundamentally a **human capital** ceiling.

Climate Vulnerability — The Emerging Threat

Impact on Industry

- **2022 floods** cost **$30B** — wiped out 2 years of GDP gains
- Agriculture and energy sectors most exposed
- Water scarcity threatens textile dyeing and finishing operations
- Rising temperatures reduce labour productivity
- **IMF Resilience and Sustainability Facility** (2025) provides some financing

Economic Cost

- Pakistan ranks among the **top 10 most climate-vulnerable** nations
- Climate damages estimated at **2–3% of GDP annually** in bad years
- Agricultural productivity losses cascade to agro-industry
- Insurance penetration near zero — all risk borne by producers
- No industrial climate adaptation strategy exists

> Climate adaptation is not a luxury — it is an **economic imperative** for Pakistan's industrial survival.

Summary: The Challenge Matrix

Challenge	Severity	Time Horizon	Impact on Industry
Energy Crisis & Circular Debt	CRITICAL	Immediate	Existential
Export Stagnation	CRITICAL	Immediate	Growth-limiting
Anti-Export Bias & Tariff Structure	CRITICAL	Medium-term	Competitiveness

Challenge	Severity	Time Horizon	Impact on Industry
Narrow Tax Base / Over-taxation	CRITICAL	Immediate	Investment deterrent
Brain Drain	HIGH	Ongoing	Human capital loss
PSE Fiscal Burden	HIGH	Structural	Fiscal space
Human Capital Deficit	HIGH	Long-term	Growth ceiling
Informal Economy	HIGH	Structural	Revenue & productivity

Challenge	Severity	Time Horizon	Impact on Industry
Climate Vulnerability	MEDIUM	Long-term	Supply chain risk
Policy Discontinuity	CRITICAL	Structural	Investor confidence

Core Message: Pakistan’s industrial sector faces not one crisis but a **compounding set of structural failures** — each reinforcing the others. Piecemeal reform will not work. A comprehensive, sustained industrial strategy is the only path forward.

Next Lecture →

Industrial Policy, the Boom-Bust Cycle & The Way Forward

Regional comparisons · Policy frameworks · Reform agenda

Prof. Dr. Zahid Asghar · School of Economics, QAU · Spring 2026